

## PROJECT

## TIDEWAY

## Executive Teaser

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June 2023

## Transaction Overview

|                 |                                                     |
|-----------------|-----------------------------------------------------|
| Company         | Meridian Marine Services                            |
| Sector          | B2B Services — Offshore Logistics & Marine Services |
| HQ / Founded    | Houston, TX / 2008                                  |
| Advisor         | Jefferies LLC (Exclusive)                           |
| LTM Revenue     | \$185M                                              |
| LTM Adj. EBITDA | \$32M (17.3%)                                       |
| Revenue Growth  | +21% YoY (LTM)                                      |
| Asking EV       | ~\$280M (8.75x LTM Adj. EBITDA)                     |

# Meridian Marine Services at a Glance

## Overview and key operating metrics

Meridian Marine Services ("Meridian" or the "Company") is a leading provider of integrated offshore logistics, vessel chartering, and port services to the Gulf of Mexico energy sector. Founded in 2008 by former Tidewater executives, Meridian operates a fleet of 38 owned and chartered vessels — including platform supply vessels (PSVs), fast crew boats, and anchor handling tugs — serving major E&P operators including Shell, BP, Chevron, and Murphy Oil. The Company has grown through a combination of organic contract wins and 3 strategic fleet acquisitions since 2018, establishing a dominant position in the deepwater Gulf of Mexico sub-market.

Founded

**2008**

Employees

**~820**

Avg. Contract Tenor

**2.3 years**

HQ

**Houston, TX**

Fleet Size

**38 vessels**

Clients

**Shell, BP, Chevron, Murphy**

LTM Revenue

**\$185M**

LTM Adj. EBITDA

**\$32M**

YoY Revenue Growth

**+21%**

Owned / Chartered Vessels

**38**

# Why Meridian

## Six investment highlights

01

### Dominant deepwater Gulf of Mexico platform with long-term customer relationships

#2 PSV operator in the Gulf of Mexico by fleet capacity; #1 in shallow-water crew transfer · Average customer relationship of 8.4 years; Shell and BP collectively 41% of LTM revenue · 14 contracts with remaining tenor >18 months, providing high revenue visibility through 2025

03

### Strong energy sector tailwinds driving utilization and day rate recovery

Gulf of Mexico deepwater rig count at 22 active units — highest since 2015; PSV demand directly correlated · Vessel day rates recovering; PSV spot rates up 38% YoY; Meridian's contracted fleet re-pricing at renewal · IEA projects Gulf deepwater production to grow 12% by 2028; operator capex budgets up 18% YoY in 2023

05

### Vertically integrated shore-base and port operations

Owned shore bases in Fourchon (LA) and Ingleside (TX) — prime deepwater staging locations · Shore-base operations generate \$18M of stable, asset-light revenue independent of vessel utilization · Port Fourchon base has 22-year lease with 2 renewal options — strategic asset with high replacement cost

02

### Modern, fuel-efficient fleet at attractive replacement cost

Average fleet age of 7.2 years vs. Gulf of Mexico industry average of 14.1 years — significant operational advantage · 2022 new-build PSVs (2 vessels, \$48M invested) operating at premium day rates of \$28,500/day · Fleet replacement cost estimated at \$520M+ — acquiring Meridian at \$280M represents a 54% discount to asset value

04

### Recurring revenue base with contracted backlog providing visibility

\$285M contract backlog as of March 2023 — 1.5x LTM revenue; 78% under term contracts (avg. 2.3yr remaining) · Cost-plus structure on 6 major contracts protects against fuel cost inflation · Day rate escalation clauses in 11 contracts tied to CPI — natural inflation hedge

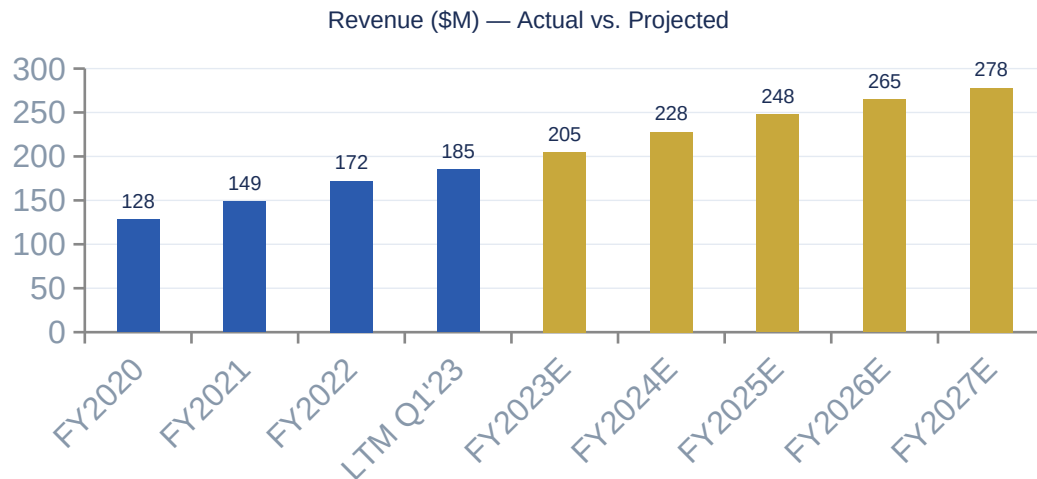
06

### Proven management team with successful M&A track record

CEO Kirk Dolan: 28 years in offshore marine; former COO at Tidewater Inc. (NYSE: TDW) · 3 fleet acquisitions completed 2018–2022 at avg. 5.2x EBITDA (all immediately accretive) · Identified additional bolt-on targets: 2 small Gulf operators, combined ~12 vessels at distressed pricing

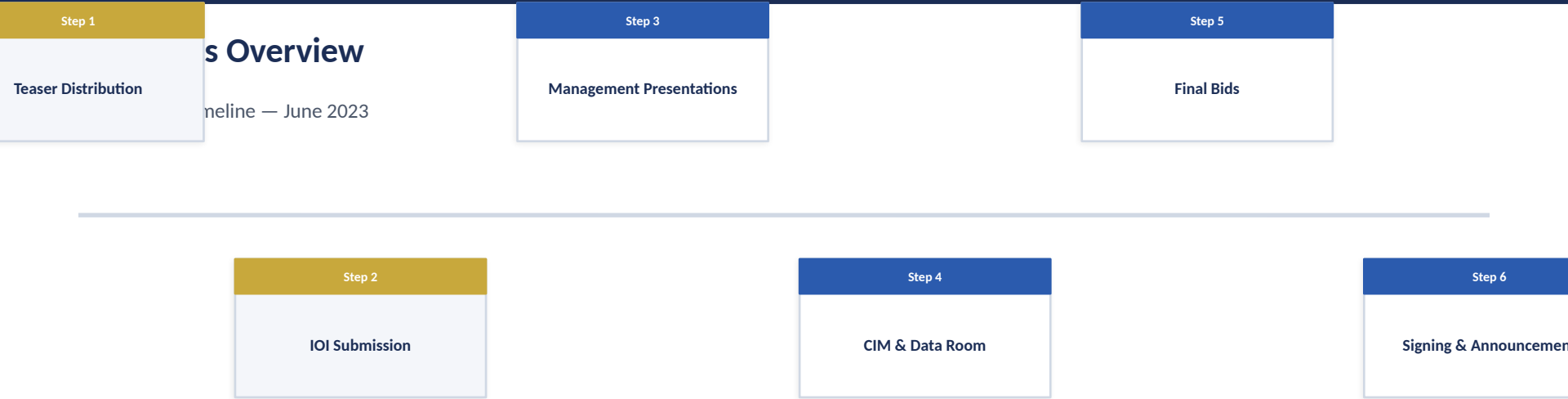
## Financial Performance

Historical results and management projections (\$ in millions)



| (\$M)           | FY2020 | FY2021 | FY2022 | LTM Q1'23 | FY2027E |
|-----------------|--------|--------|--------|-----------|---------|
| Revenue         | 128.0  | 148.5  | 172.2  | 185.4     |         |
| YoY Growth      | —      | +16.0% | +15.9% | +21.1%    |         |
| Adj. EBITDA     | 22.0   | 24.1   | 28.8   | 32.1      |         |
| EBITDA Margin % | 17.2%  | 16.2%  | 16.7%  | 17.3%     |         |
| Revenue         | 205    | 228    |        |           |         |
| Adj. EBITDA     | 38     | 46     |        |           |         |
| EBITDA Margin % | 18.5%  | 20.2%  |        |           |         |

E = Management projections; not independently verified by Jefferies LLC.



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